CAT 1

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1. According to World Bank ranking, the per capita income for UK in 2023 is about 25 times that of Kenya. Does this imply that the standard of living in UK is 25 times that of Kenya? NO. Because;

a) Cost of living differences - Prices for goods and services differ hugely between countries. Things like a haircut, meal or rent costs far less in Kenya than the UK. Raw per capita income doesn't account for this. PPP adjusted figures would shrink that 25X gap considerably, since money goes further in Kenya.

b) Income distribution - Per capita income is an average - (minus) total income ÷ (divide) population. It says nothing about how income is actually distributed.

c) Non-market activities aren't counted subsistence farming, informal trade, bartering and household labor all common in Kenya doesn't show up in GDP figures.

d) Standard of living is broader than income. It includes health, education, life expectancy, access to clean water etc none of which are captured by an income figure alone

2. Giving a reason, explain whether the following are included in Gross Domestic Product (GDP) of Kenya.

i) Payment of salaries to its staff by embassy located in Nairobi

It is not included in Kenya's GDP. Because embassies are treated as an extension of the foreign country's territory, not part of the domestic economy.

ii) Government cash transfers to the vulnerable in society.

It is not included. Because GDP only measures the value of goods and services actually produced. Cash transfers are transfer payments (money moved from one group to another without any corresponding production of a good or service in exchange.

3. The central Bank of a certain country decided to increase money supply in their economy. Explain the effect of this decision on interest rate in the country. An Increase in money supply leads to a fall in the interest rate. Because;

a) In the money market, equilibrium interest rate is determined where money supply intersects money demand.

b) When the central bank increases the money supply, the money supply curve shifts to the right

c) To get rid of this excess money, people use it to buy interest-earning assets like bonds. This increased demand for bonds drives up bond prices.

d) The interest rate keeps falling until a new equilibrium is reached the point where money demand rises enough to match the new higher money supply

4. A certain civil servant was recorded saying that when the government prints more money, the prices of goods and services increases with the same percentage. Required: do you agree with this statement? Support yourself - I disagree.

a) Unemployment → If the economy isn't at full employment, extra money in circulation stimulates more production and employment rather than just pushing up prices

b) Velocity of money isn't fixed → The quantity Theory only gives a proportional result if velocity is constant.

c) Time lags → Money supply increases don't affect prices immediately. There's often a delay before the extra money circulates through the economy and affects spending, so the price response isn't instant.

d) Supply-side responses → If producers can quickly ramp up supply, the extra demand from more money gets absorbed by more output rather than pure price increases